Terms of the Privilege vs. Prospects for the Enterprise. The *terms* of the conversion privilege are evidently more attractive in the case of Bond *B*; for the stock need advance only a little more than 3 points to assure a profit, whereas Stock *A* must advance over 20 points to make conversion profitable. Nevertheless, it is quite possible that Bond *A* may turn out to be the more advantageous purchase. For conceivably Stock *B* may fail to advance at all while Stock *A* may double or triple in price.

As between the two factors, it is undoubtedly true that it is more profitable to select the right *company* than to select the issue with the most desirable *terms*. There is certainly no mathematical basis on which the attractiveness of the enterprise may be offset against the terms of the privilege, and a balance struck between these two entirely dissociated elements of value. But in analyzing privileged issues of the investment grade, the *terms* of the privilege must receive the greater attention, not because they are more important but because they can be more definitely dealt with. It may seem a comparatively easy matter to determine that one enterprise is more promising than another. But it is by no means so easy to establish that one common stock at a given price is clearly preferable to another stock at its current price.

Reverting to our example, if it were quite certain, or even reasonably probable, that Stock *A* is more likely to advance to 50 than Stock *B* to advance to 33, then both issues would not be quoted at 30. Stock *A*, of course, would be selling higher. The point we make is that the market price in general *reflects already* any superiority that one enterprise has demonstrated over another. The investor who prefers Bond *A* because he expects its related stock to rise a great deal faster than Stock *B*, is exercising independent judgment in a field where certainty is lacking and where mistakes are necessarily frequent. For this reason we doubt that a successful policy of buying privileged issues *from the investment approach* can be based primarily upon the purchaser's view regarding the future expansion of the profits of the enterprise. (In stating this point we are merely repeating a principle previously laid down in the field of fixed-value investment.)

Where the speculative approach is followed, *i.e.*, where the issue is bought primarily as a desirable method of acquiring an interest in the